SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 11, 2026 | 04:47 PM ET

MACRO REGIME: Mixed / Transitional

VIX 17.5 (-1.8 vs 20d) | SPY 20d -1.6% | IWM 20d +2.9% | IWM/SPY trend +4.5%

Leaders: Cons Disc (+6.7%), Healthcare (+6.6%), Real Estate (+6.2%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (0)
	AXGN	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	AXGN	AxoGen, Inc.	MedTech Procedural R	$3.50B	$58.63	$59.72	1.9%	+22.2	YES	YES

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

AXGN

AxoGen, Inc.

$58.63

Pivot $59.72 | 1.9% away

RS vs SPY: +22.2%

B BUILDING

$3.50B Cap | 55M Float

Peripheral Nerve Repair & Regenerative Surgery | Theme: MedTech Procedural Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 9.94

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$59.72**
% to Pivot	**1.9%**
Days in Base	**1**
Tightness	**9.94 Fair**
52W Hi Prox	**98.2%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**1951k <**
Wk2	**1796k <**
Wk3 (oldest)	**2094k**
Coil Strength	**6.8% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**YES**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$3.50B**
Float	**55M sh**
P/E (TTM)	**-**
Fwd P/E	**83.1**
Rev Growth	**26.2%**
Short %	**13.3%**
Inst. Own	**-**
Target Pr.	**$59.09**

ENTRY TRIGGER

Close above $59.75 on volume >120% of 20-day average (>1.74M shares)

Target: $72.00 - measured move from 10-week base depth ($59.72 high minus ~$50 base low = $10 move added to pivot)

Stop: $52.00 - below base low and 50-day MA; structure invalidated

CATALYST INTELLIGENCE

EARNINGS

Oct 28 - Just reported 14 days ago (Q3 2026). Street was at ~$0.12 EPS on ~$53M revenue; company has beaten EPS in 3 of last 4 quarters with accelerating revenue growth (+26% YoY). Guidance was raised mid-year; management tone bullish on Avance adoption in breast neurotization and upper extremity indications. No near-term catalyst until Q4 print in late January 2027.

BUSINESS & POSITION

AxoGen is the market leader in peripheral nerve repair, offering processed nerve allografts (Avance), connectors (Axoguard), and the only commercially available nerve conduit portfolio for surgical reconstruction of nerve discontinuities. The company dominates a niche $500M+ TAM in extremity, breast reconstruction, and trauma surgery with 70%+ share in processed nerve allografts and no direct comparable competitor at scale.

FACTOR & THEME

Beneficiary of elective surgery recovery post-COVID normalization and aging demographics driving trauma/reconstruction volumes. Healthcare sector is currently a market leader (+6.6% 20d), providing favorable sector tailwinds; sentiment in procedural MedTech is accelerating as hospital CapEx and surgical volumes rebound.

NEWS FLOW

No material news in last 30 days post-earnings. Q3 beat drove the move to 52-week highs. Watch for surgeon adoption data presentations at ASPS (American Society of Plastic Surgeons) or AAHS (Hand Surgery) conferences in Q1 2027. No FDA events pending; all key products already cleared. Industry catalyst: Peer Integra LifeSciences (IART) showed soft nerve/wound care numbers, but AXGN is taking share-positive read-through for category leader. Impact: Earnings (High, already passed); Corporate/Industry (Low near-term).

INSTITUTIONAL

Volume dry-up is only partial (W3 uptick breaks strict VCP criteria), but RS line at new highs with price consolidating just 2% from pivot suggests institutional holders are not distributing. Institutional ownership data unavailable from this feed. Short interest elevated at 13.3% / 3.6 days-to-cover-potential for squeeze if breakout triggers. No insider buying in last 60 days (baseline for most names); would prefer insider confirmation given the 84x forward P/E and growth-stage profile. Float is tight at 54.6M shares.

KEY RISK

Thesis invalid on a weekly close below $52.00 (the base low / 50-day MA convergence zone), or if Q4 guidance disappoints given the premium 83x fwd P/E and 13x P/S. Customer concentration risk: top 5 hospital systems represent meaningful revenue; any GPO contract loss would materially impair growth trajectory. 13.3% short interest could create volatility on any stumble.

RS line at 52-week high with price 2% from pivot is constructive, but base_tight of 9.94 is loose (well above the <2.0 A-grade threshold) and volume contraction is inconsistent (W3 uptick breaks the stair-step pattern). The 1-day base formation is too nascent for institutional-quality VCP structure. Post-earnings drift with no catalyst for 10+ weeks reduces urgency. Strongest disconfirming argument: 83x forward P/E on a company still operating-margin-negative (-5.2%) leaves no room for execution miss, and 13% short interest suggests smart money skepticism on valuation sustainability. Healthcare sector leadership and RS strength keep this a B rather than C, but needs 1-2 more weeks of tightening and ideally insider confirmation before A consideration. Conviction: Medium.

AXGN - Technical Chart

